NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

FINANCIAL REPORTING

CAC 4101

NOVEMBER/DECEMBER 2022 EXAMINATION

This examination paper consists of 4 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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QUESTION 1 (25 Marks)

Pathfinder Ltd, a furniture manufacturer and exporter, discontinued a major line of its business in Bulawayo dealing in cane furniture. The disposal was on 30June 2021, three months before its reporting period. Immediately after the disposal of this division, the company embarked on asset restructuring and a change in reporting period to 31 December .

To compensate for the loss in volume the company purchased two second hand polishing machines from a sister company for $450.000 each after being given 10 % discount. Another 10% discount was given if the outstanding amount is settled within 15 days or additional 25% interest per annum if settled in 90 days. The company chose to settle one machine within 15 days and the other on 90 days. Installation costs were $25 000-00 each machine. The older of the two machines was tested for performance at a cost of $40 000 but goods produced during the testing were sold for a profit of $15 000. Transportation costs for the two machines were $12 500 each.

REQUIRED:

(a) Illustrate how the discontinued operations will be disclosed in the financial statements for the reporting period 30 September 2021. **(15 marks)**

(b) Journals for recording the polishing machines for the period 30 September 2021.

(10 marks)

(c) Reasons for the change in year end to 31 December. **(5 marks)**

QUESTION 2 (25 Marks)

Describe the following terms:

(a) A qualifying asset (Ias 23) (5Marks)

(b) IFRIC (5 Marks)

(c) Authorisation date (IAS 10) (5 Marks)

(d) Discount rate in terms of IAS 36. (5 Marks)

(e) Onerous contract or Physical capital maintenance (5 Marks)

QUESTION 3 (25 Marks)

Rocky Ltd

Below is the statement of cash flow of Rocky Ltd for the period ending 31 May 2022.

Cash flows from operating activities	$m	$m	
Net profit before taxation		395	
Adjustments for			
Share of profit of an associate	(45)		
Exchange differences	9		
Depreciation	129		
Impairment of plant	25		
Interest Expense	75		
Amortisation of licenses	20	213	
Operating profit before working capital changes		608	
Increase in trade receivables	(160)		
Decrease in inventories	40		
Decrease in payables and other provisions	250	130	
Cash generated from operations		**738**	
Interest paid	(51)		
Income taxes paid	(140)		
Cash paid to retirement benefit scheme	(26)	217	
Net cash from operating activities		**521**	
Cash flows from investing activities			
Acquisition of subsidiary –on 31 May 2021	(230)		
Purchase of property, plant and equipment	(451)		
Dividends received from associate	50		
Net cash used in investing activities		**631**	

Cash flows from financing activities			
Proceeds from issue of shares	60		
Repayment of long-term borrowings	(50)		
Dividends paid-ordinary shareholders	(85)		
Preference shareholders dividends	(5)		
Net cash used in financing activities		**(80)**	
Net decrease in cash and cash equivalents		(190)	
Cash and cash equivalents at beginning		**280**	
Cash and cash equivalents at the end of the period		**90**	

REQUIRED

(a) Comment on the statement of cash flow of Rocky Ltd with special emphasis on government, employees and investors. (20 Marks)

(b) Explain why the income tax paid is less than $150 million tax expense in the statement of profit or loss. (5 Marks)

QUESTION 4 (25 Marks)

Bindura Wholesalers Ltd trades in agricultural products and is the largest wholesaler in Mashonaland Central Province. Because of shortage of storage capacity with many businesses in Bindura and the province the wholesaler has agreements with a number of customers that, should the customer prefer it, purchased agricultural products would not be delivered immediately to the purchaser's premises, but that the building material will be stored in the warehouse. Any agricultural seeds not collected within a week of purchase carry a separate $2 000 extra charge for hire of fumigation services.

On 1 December 2021, Sandy Ltd placed an order with Bindura Wholesalers Ltd for 200 tons of soya beans seeds $3 200 per ton. The 200 tons of soya beans seeds were available for delivery on 1 December 2021, but the Purchasing Manager of Sandy Ltd requested telephonically that the soya beans seeds be delivered to its premises on 31 January 2022.

A sales invoice of $732 800 (including 14.5% VAT) was issued to Sandy Ltd on 1 December 2021. The invoice is payable on 1 February 2022.Sandy Ltd paid this invoice partly by a licence with a carrying amount of $ 132 000 and the balance cash. The carrying amount was same as fair value. The reporting period for Sandy Ltd is 31 December 2021.

Required:

a) Recognise the revenue by applying the five step model of IFRS 15. (15 marks)

b) Write journal entries to record the transactions in the books of Sandy Ltd up to 1 February 2022. (8 marks)

(c) The deferred tax of the licence if Zimra allows only 25%. (2 marks)

THIS IS THE END OF THE EXAMINATION PAPER